

23/4/26

Chapter-1-Worksheet

I Multiple Choice Questions:-

1-As (D) Recording financial transactions

2-As (C) Ignored financial Information

3-As (B) Accountant

4-As (C) Management Accounting

5-As (B) Provide financial information

6-As (B) Recording

7-As (D) Both internal and external users

8-As (B) Money

9-As (C) Creditor

10-As (D) Financial statement

11-As (B) Recording of transactions in Journal

12-As (B) Journal $\rightarrow$ ledger $\rightarrow$ Trial Balance $\rightarrow$ Financial statements

13-As (B) Transferring entries from Journal to ledger

14-As (B) Check arithmetical accuracy of accounts

15-As (C) Preparation of Financial statements

16-As (C) Management Accounting

17-As (B) Determining cost of production

18-As (B) Recording of financial transactions

19-As (C) Only recording transactions

20-As (B) Provide financial information

21-As (B) Decision-making

22-As (C) Understandability

23-As (B) Relevance

24-As (C) Manager

25-As (C) Creditor

26-As (B) Recording

27-As (B) Grouping transactions of similar nature

28-As (C) Financial statements

29-As (B) Decision-making

30-As (C) Communicating

31-As (B) Two aspects of every transaction are recorded

32-As (C) Debit = Credit

33-As (B) Accounting equation

31-42 (B) At least two accounts

33-42 (B) Checking accuracy of records

36-42 (B) Affects financial position of a business

37-42 (B) Purchase of goods for cash

38-42 (D) Owner's personal expenses

II Very Short Questions

1-A2 ATCPA Definition: Accounting is the art of recording, classifying, and summarising financial transactions and interpreting results.

2-A2 Characteristics: (i) Records monetary transactions, (ii) Systematic process.

3-A2 Sub-divisions of Journal: Cash Journal, Purchase Journal, Sales Journal.

4-A2 Branch for Tax purpose: Tax Accounting

5-A2 Book-keeping: Recording of financial transactions systematically.

6-A2 Advantages: (i) Help in decision-making, (ii) Determined profit/loss

7-A2 Internal Users: Manager, Owner, Employees

8-A2 External users: Creditors, Government.

III Short Questions

1-A2 Qualitative characteristics: Relevance, Reliability, Comparability, Understanding.

- Relevance: Influences decisions.

- Reliability: Free from bias/errors.

2-A2 Limitations of Accounting:

- Records only monetary transactions.

- Based on historical cost.

- Subject to personal judgement.

1-A2 Accountancy vs Accounting:

- Accounting: Process of recording, classifying, summarising transactions.

- Accountancy: Broader field including principles, concepts, and practice of accounting.

IV Long Questions

1-A2 Accounting as a source of information:

Accounting provides financial data about assets, liabilities, income, and expenses. This information helps managers, investors, creditors, and government in decision-making, planning, and evaluating performance.

2-A2 Role of accounting with economic development:

Earlier, accounting was limited to recording transactions. With economic growth, it now supports cost control, management decisions, taxation, social responsibility, and global reporting standards.

II Assertion & Reason

1-Ans (A) Both A and R are true and R is the correct explanation.

2-Ans (A) Both A and R are true and R is the correct explanation.

III Case Study

1-Ans Process followed: Accounting cycle

2-Ans Reason for preparing statements: To know profit or loss

3-Ans Feature of accounting: Systematic recording of transactions

4-Ans Users of information: Owner, creditors, government, managers.

24/4/26